

THE CO-OPERATIVE BANK OF KENYA LIMITED

The Board of Directors of The Co-operative Bank of Kenya Limited is pleased to announce the Audited results of the Group and the Bank for the Period ended 31 December 2014

I BALANCE SHEET

	GROUP		BANK	
	31-Dec-14 KSHS.'000 Audited	31-Dec-13 KSHS.'000 Audited	31-Dec-14 KSHS.'000 Audited	31-Dec-13 KSHS.'000 Audited
A ASSETS				
1 Cash (local and foreign)	9,455,086	9,196,193	8,970,240	8,908,316
2 Balances due from Central Bank Of Kenya	14,880,245	11,516,976	13,954,693	10,388,172
3 Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	30,009
4 Financial Assets at fair value through profit and loss	559	557	501	501
5 . a.a Investment Securities: Held to Maturity- Kenya Government Securities	24,643,526	13,983,393	24,460,192	13,820,482
a.b Investment Securities: Held to Maturity- Other Securities	-	45,000	-	-
b.a Investment Securities: Available for Sale - Kenya Government Securities	16,068,108	19,560,640	15,960,083	19,560,640
b.b Investment Securities: Available for Sale-Other Securities	5,072,361	5,746,273	5,072,361	5,746,273
6 Deposits and balances due from local banking institutions	7,847,333	2,968,294	7,845,769	3,003,578
7 Deposits and balances due from banking institutions abroad	4,963,526	7,072,622	4,969,092	7,053,215
8 Tax recoverable	-	97,029	-	99,631
9 Loans and advances to customers (net)	179,486,355	137,087,227	178,978,586	137,051,537
10 Balances due from banking institutions in the group	207,361	-	207,361	109,379
11 Investments in associates	1,907,722	1,688,888	755,118	755,118
12 Investments in subsidiary companies	-	-	1,806,449	1,748,494
13 Investment in joint ventures	-	-	-	-
14 Investment in properties	-	-	-	-
15 Property, plant and equipment	10,078,698	11,447,430	9,253,832	10,641,897
16 Prepaid lease rentals	37,570	38,180	37,570	38,180
17 Intangible assets	1,712,901	1,616,772	1,363,209	1,094,514
18 Deferred tax asset	618,629	66,658	609,156	56,113
19 Retirement benefit asset	-	-	-	-
20 Other assets	8,386,078	9,053,219	8,414,876	8,768,434
21 TOTAL ASSETS	285,396,067	231,215,359	282,689,098	228,874,484
B LIABILITIES				
22 Balances due to Central Bank Of Kenya	-	-	-	-
23 Customer deposits	217,698,323	175,425,121	216,174,313	174,776,225
24 Deposits and balances due to local banking institutions	3,159,444	5,462,337	3,159,444	5,462,337
25 Deposits and balances due to banking institutions abroad	-	-	82,282	-
26 Other money market deposits	-	-	-	-
27 Borrowed funds	18,269,487	10,252,392	18,269,487	10,252,392
28 Balances due to banking institutions in the group	-	-	-	-
29 Tax payable	149,821	-	129,171	-
30 Dividends payable	-	-	-	-
31 Deferred tax liability	-	-	-	-
32 Retirement benefit liability	-	-	-	-
33 Other liabilities	2,706,082	2,937,252	2,523,282	2,731,485
34 TOTAL LIABILITIES	241,983,157	194,077,101	240,337,979	193,222,439
C SHAREHOLDERS' FUNDS				
35 Paid up/Assigned capital	4,889,317	4,190,844	4,889,317	4,190,844
36 Share premium/(discount)	2,889,789	3,588,262	2,889,789	3,588,262
37 Revaluation reserve	439,517	460,752	403,407	407,035
38 Retained earnings/ Accumulated losses	32,206,653	26,409,433	31,264,373	25,354,077
39 Statutory Loan Loss Reserve	718,421	718,026	717,844	717,844
40 Other Reserves	(793,356)	(1,243,357)	(794,062)	(1,255,707)
41 Proposed dividends	2,444,658	2,095,422	2,444,658	2,095,422
42 Capital grants	535,792	554,268	535,792	554,268
43 TOTAL SHAREHOLDERS' FUNDS	43,330,791	36,773,649	42,351,119	35,652,045
43.1 Non-Controlling Interest	82,118	364,608	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	285,396,067	231,215,359	282,689,098	228,874,484

II PROFIT AND LOSS ACCOUNTS

	GROUP		BANK	
	31-Dec-14 KSHS.'000	31-Dec-13 KSHS.'000 Audited	31-Dec-14 KSHS.'000	31-Dec-13 KSHS.'000 Audited
1.0 INTEREST INCOME				
1.1 Loans and advances	24,713,355	20,045,346	24,669,606	20,044,538
1.2 Government securities	4,331,262	4,126,061	4,309,901	4,107,495
1.3 Deposits and placements with banking Institutions	307,394	370,318	287,900	358,889
1.1 Other Interest Income	-	-	-	-
1.5 Total Interest Income	29,352,011	24,541,725	29,267,406	24,510,922
2.0 INTEREST EXPENSE				
2.1 Customer deposits	5,957,719	5,103,060	5,957,045	5,103,054
2.2 Deposits and placements from banking institutions	215,306	146,220	206,410	146,220
2.3 Other Interest Expenses	1,903,128	666,535	1,903,128	666,535
2.4 Total Interest Expenses	8,076,154	5,915,815	8,066,583	5,915,809
3 NET INTEREST INCOME/(LOSS)	21,275,858	18,625,910	21,200,823	18,595,113
4 NON- OPERATING INCOME				
4.1 Fees and commissions on loans and advances	2,148,888	1,935,527	2,148,888	1,935,527
4.2 Other Fees and commissions	6,565,180	5,225,451	5,933,931	4,894,638
4.3 Foreign exchange trading income/(loss)	1,417,692	1,471,977	1,201,739	1,443,649
4.4 Dividend income	5,958	53,551	258,101	53,551
4.5 Other income	672,187	577,386	639,416	625,615
4.6 Total Non-interest income	10,809,905	9,263,893	10,182,074	8,952,980
5.0 TOTAL OPERATING INCOME	32,085,762	27,889,803	31,382,898	27,548,093
6.0 OTHER OPERATING EXPENSES				
6.1 Loan loss provision	1,175,598	778,157	1,133,519	773,291
6.2 Staff costs	8,438,158	8,013,780	8,060,096	7,825,352
6.3 Directors' emoluments	161,129	131,734	166,235	110,274
6.4 Rentals charges	1,304,859	1,123,891	1,102,060	1,062,895
6.5 Depreciation charge on property and equipment	1,953,657	1,528,961	1,840,599	1,514,249
6.6 Amortisation charges	342,444	178,812	304,166	176,176
6.7 Other operating expenses	6,722,174	5,627,393	6,311,493	5,380,400
6.8 Total other operating expenses	20,098,019	17,382,727	18,868,168	16,842,637
7 Profit/(Loss) before tax and exceptional items	11,987,743	10,507,075	12,514,729	10,705,457
8 Exceptional items-Early Retirement Costs	(1,342,509)	-	(1,342,509)	-
8 Exceptional items-Share of profit of associate	270,976	365,368	-	-
9 Profit/(Loss) before tax	10,916,210	10,872,444	11,172,221	10,705,457
10 Current tax	3,453,288	1,996,713	3,373,937	1,958,092
11 Deferred tax	(552,075)	(232,454)	(553,043)	(231,826)
12 Profit/(loss) after tax and exceptional items	8,014,997	9,108,185	8,351,326	8,979,191

	GROUP		BANK	
13.0 OTHER COMPREHENSIVE INCOME				
13.1 Gains/(Losses) from translating the financial statements of foreign operations	30,384	1,060	-	-
13.2 Fair value changes in available-for-sale financial assets	450,002	(178,378)	461,646	(178,221)
13.3 Revaluation Surplus on property, Plant and Equipment	-	-	-	-
13.4 Share of other comprehensive income of associates	-	20,713	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-
14 OTHER COMPREHENSIVE INCOME NET OF TAX	480,386	(156,605)	461,646	(178,221)
15 TOTAL COMPREHENSIVE INCOME	8,495,382	8,951,580	8,812,972	8,800,970
Basic Earnings per share	1.64	2.17	1.71	2.14
Diluted Earnings per share	1.64	1.86	1.71	1.84
Dividend per share	0.50	0.50	0.50	0.50

III OTHER DISCLOSURES

	GROUP		BANK	
	31-Dec-14 KSHS.'000 Audited	31-Dec-13 KSHS.'000 Audited	31-Dec-14 KSHS.'000 Audited	31-Dec-13 KSHS.'000 Audited
1 NON PERFORMING LOANS AND ADVANCES				
a) Gross non-performing loans and advances	7,982,045	6,103,463	7,982,045	6,103,463
Less	-	-	-	-
b) Interest in suspense	312,261	676,978	312,261	676,978
c) Total Non-performing loans and advances (a-b)	7,669,784	5,426,485	7,669,784	5,426,485
Less	-	-	-	-
d) Loan loss provisions	2,079,636	2,366,972	2,079,636	2,366,972
e) Net Non performing loans (c-d)	5,590,148	3,059,513	5,590,148	3,059,513
f) Discounted Value of Securities	5,590,148	3,059,513	5,590,148	3,059,513
g) Net NPLs Exposure (e-f)	-	-	-	-
2 Insider loans and advances				
a) Directors, shareholders and associates	232,807	158,416	232,807	158,416
b) Employees	6,602,831	6,305,246	6,602,831	6,305,246
c) Total insider loans, advances and other facilities	6,835,638	6,463,662	6,835,638	6,463,662
3 Off-Balance Sheet Items				
a) Letters of credit, guarantees, acceptances	14,110,553	16,971,431	14,110,553	16,971,431
b) Forwards, swaps and options	5,815,401	3,865,180	5,815,401	3,865,180
c) Other contingent liabilities	-	-	-	-
d) Total contingent liabilities	19,925,954	20,836,611	19,925,954	20,836,611
Capital strength				
a) Core capital	-	-	37,461,620	32,122,842
b) Minimum Statutory Capital	-	-	1,000,000	1,000,000
c) Excess/(deficiency)	-	-	36,461,620	31,122,842
d) Supplementary capital	-	-	18,072,839	11,071,995
e) Total capital	-	-	55,534,459	43,194,837
f) Total risk weighted assets	-	-	256,510,900	205,151,872
g) Core capital/total deposit liabilities	-	-	17.1%	18.2%
h) Minimum Statutory Ratio	-	-	10.5%	10.5%
i) Excess/(deficiency)	-	-	6.6%	7.7%
j) Core capital/total risk weighted assets	-	-	14.6%	15.7%
k) Minimum Statutory Ratio	-	-	10.5%	10.5%
l) Excess/(deficiency)(j-k)	-	-	4.1%	5.2%
m) Total capital/total risk weighted assets	-	-	21.6%	21.1%
n) Minimum Statutory Ratio	-	-	14.5%	14.5%
o) Excess/(deficiency)(m-n)	-	-	7.1%	6.6%
5 Liquidity				
a) Liquidity Ratio	-	-	33.8%	32.6%
b) Minimum Statutory Ratio	-	-	20.0%	20.0%
c) Excess/ (deficiency)(a-b)	-	-	13.8%	12.6%

PROPOSED DIVIDEND:

The Directors have resolved to recommend to the Members at the forthcoming Annual General Meeting, the payment of a first and final dividend for the year 2014 of 50 cents per share(2013-50 cents) for every ordinary share of KShs 1. The dividends will be paid on or about 29th June 2015 to the shareholders registered on the Bank's Register at the close of business on 28th May 2015. The register will remain closed for one day on 29th May 2015 for the preparation of dividend warrants.

ANNUAL GENERAL MEETING:

Notice is hereby given that the seventh (7th) Annual General Meeting of The Co-operative Bank of Kenya Limited will be held on 27th May 2015 at a venue to be advised.

MESSAGE FROM THE DIRECTORS:

The above Consolidated Statement of Comprehensive Income and Statement of Financial Position are extracts from the Bank's Financial Statements which have been audited by Ernst & Young and have received an unqualified opinion. A full set of these Financial Statements will be available at our registered office at Co-operative House and online at www.co-opbank.co.ke for inspection after approval by members at the Annual General Meeting.



The financial statements were approved by the Directors on 17th March 2015 and signed on its behalf by:

Signed: Mr. Stanley Muchiri, EBS
Group Chairman

Signed: Dr. Gideon Muriuki, MBS
Group Managing Director & CEO